

DEBT & EQUITY

Can a \$7 Million Loan in Pataskala Tell Regional Banks Anything About Industrial Risk?

A 2022-vintage building, a single tenant, and a bank loan that reveals how capital is pricing time, not just space.

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A source-grounded Light Tower Insight. The complete note follows.

The building sits on 20 acres. Seven of those acres are parking.

That is not a footnote. It is the economic center of the transaction.

Associated Bank has provided a nearly \$7 million loan to Transport Properties and GFH Partners for a 75,250-square-foot industrial building in Pataskala, Ohio, about 20 miles west of Columbus. The property was completed in 2022 and is fully leased to Thayer Power & Communication, a single tenant. The loan finances a building that is three years old, in a submarket that is not Columbus proper, with a tenant whose credit profile is not disclosed.

The question the market should ask is not whether this loan gets repaid. The question is what it reveals about how regional banks are underwriting industrial risk in mid-cycle 2026.

Start with the physical fact. Twenty acres for a 75,250-square-foot building is a land-to-building ratio of roughly 11.6 to 1. That is not a warehouse. That is an industrial outdoor storage property, or IOS, a niche that Transport Properties explicitly targets. IOS properties generate rent from both the building and the surrounding land used for equipment, vehicle, or materials storage. The tenant, Thayer Power & Communication, is a utility infrastructure contractor. It needs the building for shop and office space and the land for staging equipment and fleet vehicles.

The capital implication is straightforward: the loan is underwriting the land value as much as the building value. That is a different risk profile than a standard industrial box. The land component is harder to re-tenant if the tenant leaves. A 75,000-square-foot building on three acres can be re-leased to a dozen different users. A 75,000-square-foot building on twenty acres, with seven acres of paved parking, has a narrower tenant pool. The next tenant also needs to be a contractor with a fleet.

Associated Bank is not a national lender. It is a regional bank based in Green Bay, Wisconsin, with a commercial real estate portfolio concentrated in the Midwest. Its willingness to lend on this asset signals that regional bank appetite for industrial debt has not collapsed, but it has narrowed. The loan is small, at roughly \$93 per square foot including the land. That is a conservative basis relative to replacement cost. A 2022-vintage building in central Ohio likely cost more than \$100 per square foot

to develop, meaning the loan is below replacement cost, which gives the lender a cushion.

The maturity of the building matters. Three years old means the roof, HVAC, and slab are new. Deferred maintenance risk is near zero. The lender is not underwriting a capital expenditure cycle. It is underwriting a tenant lease and a sponsor relationship.

Transport Properties and GFH Partners are not first-time sponsors. Transport Properties specializes in IOS, a niche that requires specific underwriting expertise. GFH Partners is a global real estate asset manager and a subsidiary of GFH Financial Group, a Bahrain-based investment bank. The sponsor quality is credible, which matters more in a regional bank loan than in a CMBS execution. Regional banks lend to relationships, not to pools.

The single-tenant risk is the open question. Thayer Power & Communication is not a publicly rated credit. Its financial strength is not disclosed. The loan is effectively a bet that Thayer remains in the building through the loan term, or that the sponsors can backfill the space if it leaves. The land-intensive nature of the asset makes backfill harder than a standard industrial building.

What this loan reveals about the broader market is more interesting than the loan itself. Regional banks are still lending on industrial, but they are being selective about vintage, sponsor, and basis. They are not chasing yield. They are underwriting assets where the replacement cost floor is visible and the sponsor has a track record. They are avoiding construction loans and speculative development. They are financing existing, leased, recently built assets where the downside is measurable.

The loan also shows that industrial outdoor storage is gaining recognition as a distinct asset class, not a subcategory of industrial. The land component requires different underwriting. The tenant base is narrower. The exit strategy is less liquid. But the rent per acre can be higher than a standard industrial building, and the land is a hard asset that does not depreciate the way a building does.

For owners of similar assets in secondary Midwest markets, the signal is cautiously positive. Regional bank debt is available for the right deal: newer vintage, credible sponsor, single-tenant lease,

conservative loan-to-value. The window is not wide, but it is open.

The question the market should test next is whether that window stays open when the tenant is not a utility contractor and the building is not three years old. That is where the real pressure sits.

SOURCES

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<https://rebusinessonline.com/associated-bank-provides-7m-in-financing-for-ohio-industrial-building/>

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